

- annual rebalancing from a 50/50 portfolio of large-capitalization stocks and intermediate-term government bonds,
- a thirty-year retirement, and
- inflation-adjusted withdrawal amounts.

Exhibit 5.14 shows the maximum sustainable withdrawal rates by retirement year for three scenarios:

1. The classic case in which wealth is depleted after thirty years,
2. The case in which the nominal value of retirement date wealth is preserved after thirty years, and
3. The case in which the real inflation-adjusted value of retirement date wealth is preserved after thirty years.

With the classical wealth depletion assumption and a 50/50 asset allocation, the worst-case scenario withdrawal rate (SAFEMAX) of 4.03 percent fell to the 1966 retiree. Switching to an objective to preserve nominal wealth after thirty years, the SAFEMAX falls to 3.77 percent. The 4 percent rule would have been too aggressive to preserve nominal wealth at four historical starting points (though after thirty years of inflation, that wealth may not have a whole lot of purchasing power left).

When people say they want to preserve the value of their wealth, they are probably implicitly thinking in terms of preserving the real purchasing power of their wealth, even if they do not articulate as much. People tend to suffer from “money illusion,” in which they think in terms of nominal dollars when they really mean to consider the real purchasing power of dollars. The next column in the exhibit shows the maximum sustainable withdrawal rates that will preserve the real value of wealth after the thirtieth year. The 4 percent withdrawal rate accomplishes this in 58 percent of the historical simulations (thirty-six out of sixty-two rolling periods). The SAFEMAX for this case happened for 1965 retirees who could only use 2.72 percent to preserve the real value of their retirement date wealth.

*Exhibit 5.14*

*Maximum Sustainable Withdrawal Rates (MWRs)*